b. Expansion of the **QFIs** (Qualified Foreign Investors) Scheme to facilitate their access to the Indian capital market;
c. Progressive enhancement in the quantitative limits for **FIIs'** investments in various debt categories;
d. Allowing refinancing rupee loans through **ECB** (External Commercial Borrowing) route for Indian companies in the power sector;
e. Reduction in the withholding tax on interest payments on ECBs, and
f. Introducing a new ECB scheme for companies in the manufacturing and infrastructure sector.

Investment sentiment started improving in the last few months with foreign investors reposing more confidence in the Indian economy in general and markets in particular. During the current financial year (up to 31 December 2012), the rise in the indices stood at 11.62 per cent for the Sensex and 11.51 per cent for Nifty. The economic and political developments in the Euro-zone area and United States had an impact on markets around the world including India. The temporary resolution of the 'fiscal cliff' in the US had a positive impact on the markets. Further, the reform measures initiated by the government recently have been received well by the markets.

Human Development

Economic growth though important cannot be an end in itself. The Twelfth Five Year Plan, with its focus on *'Faster, More Inclusive and Sustainable Growth'*, puts the growth debate in the right perspective. The government's targeted policies for the poor, with the prospect of fewer leakages, can help better translate outlays into outcomes.

Expenditure on **social services** by the general government (centre and states combined) has increased in recent years reflecting the higher priority given to this sector. Expenditure on social services increased considerably in the Twelfth Plan, with the education sector accounting for the largest share, followed by health. As a proportion of GDP, expenditure on social services increased from 5.9 per cent in 2007-08 to 6.8 per cent in 2010-11 and further to 7.1 per cent in 2012-13(BE).